

SENATE BILL 1978

By Akbari

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 29; Title 8, Chapter 44; Title 10, Chapter 7 and Title 49, Chapter 6, relative to education freedom scholarships.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 6, Part 35, is amended by adding the following as new sections:

**49-6-3513.**

(a)

(1) In compliance with all state and federal student privacy laws, the program is subject to audit by the comptroller of the treasury or the comptroller's designee. The audit may include a sample of scholarships to evaluate the eligibility of the participating students, the funds deposited in the scholarship accounts, and whether scholarship funds are being used for authorized expenditures. The audit may also include an analysis of the department's program monitoring process and the sufficiency of the department's fraud protection measures. The department shall cooperate fully with the comptroller of the treasury or the comptroller's designee in the performance of the audit. The audit must be made available to the members of the general assembly.

(2) A private school that enrolls recipients is subject to audit by the comptroller of the treasury or the comptroller's designee. A private school shall pay for the cost of the audit and cooperate fully with the comptroller of the treasury or the comptroller's designee in the performance of an audit conducted

pursuant to this subdivision (a)(2). The audit must be made available to the members of the general assembly and to the public on the comptroller's website.

(b) A private school that enrolls recipients shall:

(1) Voluntarily comply with the open meetings laws, compiled in title 8, chapter 44, part 1, and open records laws, compiled in title 10, chapter 7;

(2) Provide a written report to the parent or legal guardian of a recipient of the recipient's educational progress at least twice each school year;

(3) Not increase tuition for a recipient by more than ten percent (10%) as compared to the tuition charged to the recipient by the private school in the immediately preceding school year;

(4) Annually disclose the admissions criteria, tuition rates, and demographics of the school on the school's website;

(5) Annually disclose the admittance rate for the school for the respective school year; and

(6) Publish the outcomes of the tests administered to recipients pursuant to § 49-6-3507 on the school's website.

(c) The department shall require an eligible student to disclose the name of the school in which the eligible student was enrolled in the immediately preceding school year on the scholarship application in order to receive a scholarship.

**49-6-3514.**

(a)

(1) The department shall prepare an annual report for the program that:

(A) Identifies each private school that enrolls recipients in the current school year;

(B) Includes the number of recipients enrolled at each private school in the current school year;

(C) Includes the outcomes of the tests administered to recipients pursuant to § 49-6-3507;

(D) Identifies the county of residences for each parent or guardian who applied for a scholarship and whose student received a scholarship in the current school year;

(E) Identifies the amount of scholarship funds each recipient spent in the immediately preceding school year and identify the types of allowable expenditures for which those funds were used by a recipient;

(F) Reports the number of known violations of this part; and

(G) Includes the annual reports submitted by each private school pursuant to subsection (b) for the immediately preceding school year.

(2) The department shall submit the report to the general assembly and publish the report on the department's website by October 1 of each year.

(b) Each private school that enrolls recipients shall:

(1) Contract with a certified public accountant for the certified public accountant to prepare an audit of the private school for each school year for which the school enrolls recipients. The audit must examine and report:

(A) The total amount of scholarship funds received by the school from enrolled recipients;

(B) All expenditures made by the school that exceed twenty-five thousand dollars (\$25,000); and

(C) The name, title, and salary of each of the five (5) highest-paid employees of the school; and

(2) Submit the audit prepared pursuant to subdivision (b)(1) to the department by August 1 of each year.

**49-6-3515.**

The comptroller of the treasury shall evaluate the program and submit a report to the general assembly by December 31, 2029, that includes the following information for the program based on data from the entirety of the program's existence for:

- (1) The educational outcomes of recipients;
- (2) The cost of administering the program; and
- (3) The effect of the program on LEAs, if any.

**49-6-3516.**

This part is repealed on July 1, 2030.

SECTION 2. Tennessee Code Annotated, Section 49-6-3504, is amended by deleting subdivisions (c)(4) and (c)(5) and adding the following as a new subdivision (d)(4):

(4) Be a member of a household with an annual household income for the previous year that does not exceed three hundred percent (300%) of the amount required for the student to qualify for free or reduced-price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service.

SECTION 3. Tennessee Code Annotated, Section 49-6-3507(a)(1), is amended by deleting the subdivision and substituting:

(1) As a condition of receiving a scholarship pursuant to this part, a recipient must be annually administered the same Tennessee comprehensive assessment program (TCAP) tests, or successor tests authorized by the state board of education, administered to a public school student who is enrolled in the same grade or in the same course subject as the recipient.

SECTION 4. Tennessee Code Annotated, Section 49-6-3507(a)(2), is amended by adding the following at the end of the subdivision:

A test administered to comply with subdivision (a)(1) must be uniformly administered to all recipients in the same grade level at the private school unless the recipient has an accommodation under the Individuals with Disabilities Education Act (20 U.S.C. § 1400 et seq.), or Section 504 of the Rehabilitation Act (29 U.S.C. § 794).

SECTION 5. Tennessee Code Annotated, Section 49-6-3508, is amended by deleting subsection (b).

SECTION 6. Tennessee Code Annotated, Section 49-6-5101(a), is amended by adding "and recipients, as defined in § 49-6-3502," after "all students" and adding "or the education freedom scholarship program" after "Tennessee public school".

SECTION 7. Tennessee Code Annotated, Section 49-6-5101(c), is amended by adding "and private school that enrolls recipients as defined in § 49-6-3502" after "each LEA" wherever it appears in the subsection.

SECTION 8. This act takes effect July 1, 2026, the public welfare requiring it.